Table 9.13

Corporate Bond Returns Jan 1987 to Dec 2011						
	AAA	*Aa*	*A*	*Baa*	*Caa*	*Trsys*
Yields						
Mean	6.20%	6.35%	6.72%	7.35%	15.45%	5.26%
Corp Spread	0.93%	1.09%	1.45%	2.09%	10.19%	
Excess Returns over Treasuries						
Mean	0.32%	0.42%	0.43%	1.04%	0.86%	
Stdev	2.61%	2.92%	4.00%	4.70%	16.00%	
Sharpe	0.124	0.143	0.109	0.221	0.054	

High yields, however, do not translate into high returns. Table 9.13 lists corporate bond yield spreads and realized returns from January 1987 to December 2011. The realized credit premium has been fairly modest and much lower than the credit spreads. Yield spreads for AAA bonds above Treasuries are 0.93%, but realized average excess returns over Treasuries are about one third, at 0.32%. For Baa-rated bonds, yield spreads are 2.09%, and mean excess returns are approximately half this amount, at 1.04%. For junk bonds, the credit spread is a gaping 10.19% (see also Figure 9.12), but the mean excess return is actually lower than that of Baa-rated bonds, at 0.86%. Junk bonds also have a high volatility of 16%, which is the same order of magnitude as equity volatility. Table 9.13 also lists Sharpe ratios, which increase from 0.08 to 0.22 for investment-grade bonds moving from AAA to Baa. The Sharpe ratios for junk-rated bonds is only 0.07, lower than all the investment-grade classes.

Why do high yields not imply high returns? Ilmanen (2011) argues that the modest credit premium in realized returns compared to the high credit spreads in yields can be traced to, among other things, a credit and illiquidity premium (of around 30–60 base points) and an option-adjusted spread (of around 70–100 base points). The latter reflects the fact that corporate bonds are often issued with embedded derivatives, and the raw credit spreads need to adjust for the cost of these derivatives, which are often costly for the purchaser of the bond and beneficial for the issuer. Ilmanen also points out that there is a systematic bias in the way the bonds are rated. The downgrading bias causes firms to move into more risky classes as their credit deteriorates, and thus the junk class "overcounts" defaults because many junk bonds that default were originally investment grade at issue. Nevertheless, a large amount of the credit risk premium reflects, naturally, credit risk.